

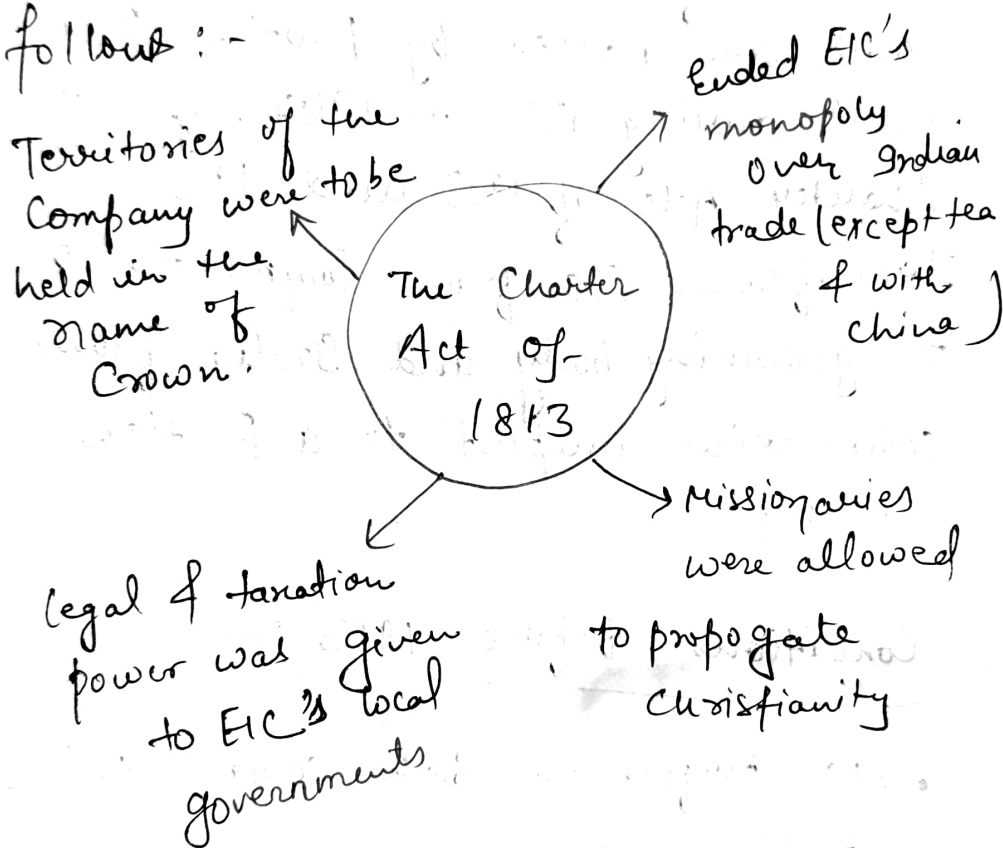
① EIC, which came to India as one of the many trading companies, later established monopolistic control over the Indian market, making it a supplier of manufactured goods to Britain. To regulate this monopolistic control of EIC over India, various laws were passed by British Parliament during 1773 to 1947, of which Charter Acts of 1813 and 1833 transformed EIC from Commercial body to governing body and India from commercial outpost to a British colony.

Conditions before 1813 :-

- EIC performed both commercial and political functions.
- EIC had monopoly over Indian trade. No other traders from Britain were allowed to trade in India.

- India used to supply manufactured textiles, spices, Raw materials, Indigo, etc. to Britain.

The Charter Act of 1813 ended the monopoly of Company over Indian trade. The main features and outcomes of this act are as follows :-



Outcomes :-

- Private British traders entered Indian market.
- Industrial Revolution in England

demanding cheap raw materials.
India was transformed from Supplier
of handcrafted goods to supplier
of raw materials and importer
of cheap machine made goods.

- Process of colonialism started with
deindustrialisation of Indian Cottage
Industries, propagation of own
culture and language and asserting
political control through Board of
Directors.

The Charter Act of 1833 completely
abolished the Company's monopolistic
rights and transformed it into
a governing body.

The Charter
Act of
1833

- Completely ended Company's
trade monopoly
- Britishers were allowed to
settle in India
- Gov. Gen. of Bengal became
Gov. Gen. of India -
Centralization of power
- Legislative Council established.

• Out comes

→ Through post of Governor General of India and establishment of Legislative Council, foundation of British Raj was laid.

→ Transition of EIC from commercial to administrative body acting for British Crown, made India colony of Britain.

→ Britishers being allowed to acquire property in India, further paved the way for colonization.

→ Huge taxes on Indian goods and zero taxes on British manufactured machine-made goods destroyed India's handicraft industry. Later, leading to one-way free trade between India and Britain.

Through the Charter Acts of 1813 and 1833; Crown asserted Economic, Political, cultural and social domination over India and accelerated the process of colonialisation by directly ruling India through its governance agent, EIC.